

In the
Court of Appeals
Sixth Appellate District of Texas at Texarkana

No. 06-26-00051-CV

THE TEXAS DEPARTMENT OF TRANSPORTATION, Appellant

V.

CLYDE REED, Appellee

On Appeal from the 60th District Court
Jefferson County, Texas
Trial Court No. 23DCCV0670

Before Stevens, C.J., van Cleef and Rambin, JJ.
Memorandum Opinion by Chief Justice Stevens

MEMORANDUM OPINION

Clyde Reed sued the Texas Department of Transportation (TxDOT) under the Texas Tort Claims Act (TTCA), alleging that he crashed his motorcycle after he hit a pothole in the highway and lost control. As a result, Reed suffered severe and disabling injuries. A Jefferson County[1] (County) jury found in favor of Reed and awarded him $795,368.39 in damages. The trial court entered a final judgment in the amount of $250,000.00, representing the TTCA's cap on liability.

TxDOT argues that (1) there is no evidence that it actually knew of the pothole, or of the danger it posed, before Reed's crash; (2) an "innocuous" pothole does not pose an unreasonable risk of harm; and (3) "there was no evidence as to how long the pothole existed sufficient to raise a fact question" regarding TxDOT's alleged failure "to make the condition reasonably safe under the time-notice rule." Because there is legally insufficient evidence to support the jury's finding of actual knowledge, we reverse the trial court's judgment and render a take-nothing judgment.

I. Background Facts

On July 3, 2022, Reed was riding his motorcycle and hit a pothole on State Highway 73. He testified that he was traveling approximately seventy miles per hour in a seventy-five miles per hour zone. Reed was thrown from his motorcycle. Trooper Nicholas Ewton with the Texas Department of Public Safety (DPS) investigated the crash and reported that Reed "had hit an uneven part of the roadway and lost control" of his motorcycle.

[1]This appeal was transferred to this Court from the Ninth Court of Appeals pursuant to a Texas Supreme Court docket equalization order. *See* TEX. GOV'T CODE ANN. § 73.001 (Supp.). Accordingly, we apply the precedent of the Ninth Court of Appeals in deciding this case to the extent that it conflicts with our own. *See* TEX. R. APP. P. 41.3.

After he was discharged from the hospital the day after the incident, Reed went back to the crash scene and photographed the pothole. Reed testified that he estimated that the pothole was about four inches deep.

Carl Ray, a supervisor with TxDOT's Port Arthur maintenance section, testified that he and his crew maintain 540 lane miles of highway in the Port Arthur area. Ray's crew generally tried to travel each road at least once every two weeks and tried to "get out there before a four-day weekend" to "just make sure" the roads were in good condition. His crew usually carried patching material and patched potholes when they saw them. Ray testified that a crew might notice a pothole and wait until after the weekend to repair it based on the priority of more serious defects.

Ray stated that they did not know about the pothole at issue. However, he explained that "[t]here's a good possibility" his crew was on that road on the days before the crash. Ray testified that "if they were coming in the left lane and it was only [two] inches or [four] inches at the time, it could have been something that they didn't see." Ray stated that "[i]t's a good possibility" that a crewmember knew about this particular pothole before the holiday weekend "if this patch job was done right after [they] returned from the July 4th holiday." However, Ray also noted that his crew "could have noted it" before the holiday to be fixed after the weekend, "[o]r again, [they] could have got a phone call from the County" after the crash.

Ray also testified that he did not know when the pothole was first identified. Ray explained that there is no documentation where "the County, DPS, a citizen, [or] another motorist" reported the pothole. Ray also explained that if his crew sees a defect out on the road,

they do not note it in their "system." Ray stated that the County "probably" reported the pothole after the crash, but that was speculation on his part. When Ray was asked whether it was "likely that one of [his] crew members saw [the pothole], because [they] don't document when [his] crew members see the defects," he answered, "Yes. Usually, they just fix it."

Ray explained that potholes "can come out of nowhere," and form quickly when water undermines the roadway base and passing traffic breaks the surface loose. He stated that he was "speculating, but it could have started out at [four] inches, which wouldn't have called for us to go out and do something; but somehow by [ten] o'clock at night, all of a sudden, it was a [twelve]-by-[eighteen]" inch-long pothole.

Ray estimated, based on Reed's photographs, that the pothole was approximately twelve by eighteen inches long and was at most one and a half inches deep. Ray acknowledged that was only an "educated guess." Reed also testified that the pothole had been patched when he saw it again on July 6 or 7. Ray did not know when the repair occurred.

The jury charge required the jury to find, among other elements, that TxDOT "had actual knowledge of the danger presented by said condition." The jury answered "Yes" and awarded $795,368.39 in damages. The trial court denied TxDOT's motion for judgment notwithstanding the verdict and entered a final judgment in the amount of $250,000.00, representing the TTCA's cap on liability.

II. The Evidence is Not Legally Sufficient to Prove Actual Knowledge of the Pothole

In its first issue, TxDOT argues that Reed failed to "put on some evidence that TxDOT actually knew of the pothole or the danger it posed before Reed's crash."

A. Standard of Review

"The final test for legal sufficiency must always be whether the evidence at trial would enable reasonable and fair-minded people to reach the verdict under review." *McAllen Hosps., L.P. v. Lopez*, 576 S.W.3d 389, 392 (Tex. 2019) (quoting *City of Keller v. Wilson*, 168 S.W.3d 802, 827 (Tex. 2005)). "We 'credit favorable evidence if reasonable jurors could, and disregard contrary evidence unless reasonable jurors could not.'" *Id.* (quoting *Wilson*, 168 S.W.3d at 827).

> Evidence is legally insufficient to support a jury finding when (1) the record discloses a complete absence of evidence of a vital fact; (2) the court is barred by rules of law or of evidence from giving weight to the only evidence offered to prove a vital fact; (3) the evidence offered to prove a vital fact is no more than a mere scintilla; or (4) the evidence establishes conclusively the opposite of a vital fact.

Id. (quoting *Crosstex N. Tex. Pipeline, L.P. v. Gardiner*, 505 S.W.3d 580, 613 (Tex. 2016)).

B. Applicable Law

Under the TTCA, "if a claim arises from a premise defect, the governmental unit owes to the claimant only the duty that a private person owes to a licensee on private property, unless the claimant pays for the use of the premises." TEX. CIV. PRAC. & REM. CODE ANN. § 101.022(a).

> The duty owed to a licensee on private property requires that "a landowner not injure a licensee by willful, wanton or grossly negligent conduct, and . . . [must] use ordinary care either to warn a licensee of, or to make reasonably safe, a dangerous condition of which the owner is aware and the licensee is not."

Sampson v. Univ. of Tex. at Austin, 500 S.W.3d 380, 391 (Tex. 2016) (quoting *State Dep't of Highways & Pub. Transp. v. Payne*, 838 S.W.2d 235, 237 (Tex. 1992)). "Actual knowledge requires knowledge that the dangerous condition existed at the time of the accident, as opposed to constructive knowledge which can be established by facts or inferences that a dangerous

condition could develop over time." *City of Corsicana v. Stewart*, 249 S.W.3d 412, 414–15 (Tex. 2008) (per curiam).

> A licensee must prove the following elements to establish a breach of duty:
>
> > (1) a condition of the premises created an unreasonable risk of harm to the licensee; (2) the owner actually knew of the condition; (3) the licensee did not actually know of the condition; (4) the owner failed to exercise ordinary care to protect the licensee from danger; [and] (5) the owner's failure was a proximate cause of injury to the licensee.

Sampson, 500 S.W.3d at 391 (quoting *Payne*, 838 S.W.2d at 237).

"Circumstantial evidence establishes actual knowledge only when it 'either directly or by reasonable inference' supports that conclusion." *Stewart*, 249 S.W.3d at 415 (quoting *State v. Gonzalez*, 82 S.W.3d 322, 330 (Tex. 2002)). As a result, "constructive knowledge which can be established by facts or inferences that a dangerous condition could develop over time" is not sufficient. *Id.* (citing *City of Dallas v. Thompson*, 210 S.W.3d 601, 603 (Tex. 2006) (per curiam)).

"Although there is no one test for determining actual knowledge that a condition presents an unreasonable risk of harm, courts generally consider whether the premises owner has received reports of prior injuries or reports of the potential danger presented by the condition." *Sampson*, 500 S.W.3d at 392 (quoting *Univ. of Tex.-Pan Am. v. Aguilar*, 251 S.W.3d 511, 513 (Tex. 2008) (per curiam)). "[W]ithout evidence showing how long the alleged [condition] had existed, the proximity of the employees is no evidence of actual knowledge." *Thompson*, 210 S.W.3d at 603. Moreover, "[h]ypothetical knowledge will not suffice." *Sampson*, 500 S.W.3d at 392.

C. Analysis

TxDOT argues that because there was no evidence to support actual knowledge, the jury was required to stack unreasonable inferences that: (1) "the pothole existed in substantially the same condition in the days leading up to the [July 4] holiday weekend as it did when Reed photographed it after his crash," (2) TxDOT's crew traveled the "road in the days leading up to [Reed's] crash, (3) TxDOT's crewmembers actually saw the pothole in substantially the same condition as it existed when Reed photographed it after his crash," and "(4) TxDOT's crews actually perceived it as being a danger but ignored it" and "decided to wait until after the holiday weekend to repair it."

Reed argues that circumstantial evidence was legally sufficient to support the jury's finding that TxDOT had actual knowledge of the dangerous condition. Reed emphasizes Ray's testimony that: (1) there was a "good possibility" TxDOT personnel traveled that highway before the holiday weekend, (2) "TxDOT sometimes identifies defects before a weekend but postpones the repair until its crews return," (3) "[t]he pothole remained unrepaired on July 4 but [was] repaired shortly after the holiday," (4) Ray "agreed that there was a 'good possibility' someone knew about [the pothole] before TxDOT left for the holiday if the repair occurred shortly after TxDOT returned," and (5) Ray "agreed [that] it was likely [that] one of TxDOT's own crew members . . . identified the pothole since there was no record of an outside source reporting the pothole to TxDOT." Reed concedes that each fact is insufficient but that when the evidence is considered in its totality, it permitted the jury to infer that TxDOT knew of the condition before Reed's crash.

Viewing the facts here as a whole, the record does not show any evidence of actual knowledge, or allow an inference of actual knowledge, that the pothole existed before the crash as a condition that a passing crew would notice and recognize as dangerous.

The facts here are less favorable to Reed than those in *Tex. Dep't of Transp. v. Lofton*, No. 09-22-00256-CV, 2023 WL 6885023, at *6 (Tex. App.—Beaumont Oct. 19, 2023, no pet.) (mem. op.). In *Lofton*, a motorcyclist struck a pothole on Interstate 10. *Id.* TxDOT regularly inspected the accident area and had repaired it several times. *Id.* TxDOT even repaired it three days before the crash. *Id.* A witness for TxDOT said that the pothole "could develop overnight or even in a few minutes." *Id.* The Beaumont Court of Appeals held that "Lofton's evidence does not establish that TxDOT had actual knowledge of the pothole in question when the accident occurred." *Id.* "[T]o prove the actual knowledge element of his premises defect claim, Lofton had to prove that at the time of his accident, TxDOT knew about the dangerous premises condition." *Id.* "It is not sufficient for TxDOT to merely know of the possibility that a dangerous condition could develop over time." *Id.* (citing *Univ. of Tex. at Austin v. Hayes*, 327 S.W.3d 113, 117 (Tex. 2010) (per curiam)). "Awareness of a potential problem is not actual knowledge of an existing danger." *Id.* (quoting *City of Denton v. Paper*, 376 S.W.3d 762, 767 (Tex. 2012) (per curiam)).

Here, there was no evidence that TxDOT was actually aware of the pothole before the accident. Nor was there evidence presented regarding reports of prior injuries or reports of a potential danger presented by the pothole. Ray explained that potholes can form quickly and "come out of nowhere." Moreover, there was testimony that a pothole present before the holiday

may have been too small to notice, and this one may have worsened after Reed struck it. Without evidence of the actual condition of the pothole at the time of the accident, evidence that TxDOT's crews may have been on the highway in the days before the crash "is no evidence of actual knowledge." *See Thompson*, 210 S.W.3d at 603–04 (citing *Wal-Mart Stores, Inc. v. Reece*, 81 S.W.3d 812, 816 (Tex. 2002) ("An employee's proximity to a hazard, with no evidence indicating how long the hazard was there, merely indicates that it was *possible* for the premises owner to discover the condition . . . .")).

Ray said that there was "a good possibility" that he or a crewmember traveled the highway before the crash and there was "a good possibility" that someone knew of the pothole before the holiday if the repair followed the crews' return. Yet, testimony that a crew might have traveled the road, might have seen the pothole, and might have deferred the repair is, at best, circumstantial evidence based on suspicion that TxDOT was aware of the pothole prior to the accident. "While circumstantial evidence can establish actual knowledge, such evidence must '"either directly or by reasonable inference" support that conclusion.'" *Sampson*, 500 S.W.3d at 394 (quoting *Suarez v. City of Tex. City*, 465 S.W.3d 623, 634 (Tex. 2015) (quoting *Stewart*, 249 S.W.3d at 415)). "An inference is not reasonable if based on mere suspicion—'some suspicion linked to other suspicion produces only more suspicion, which is not the same as some evidence.'" *Id.* (quoting *Suarez*, 465 S.W.3d at 634 (quoting *Marathon Corp. v. Pitzner*, 106 S.W.3d 724, 728 (Tex. 2003) (per curiam))). Thus, we find that TxDOT's actual notice of the pothole prior to the accident cannot be reasonably inferred from this testimony.

Additionally, the timing of the repair does not provide a sufficient inference of actual knowledge. Reed's photographs show that the pothole was repaired shortly after the holiday weekend. Even though Ray acknowledged that a crew may have seen and patched it after the crash, nothing in the record allows a reasonable inference that TxDOT knew about the pothole, and that it posed a danger before the crash. *See Thompson*, 210 S.W.3d at 604 (holding that remedial step after an accident "is not any evidence of actual knowledge").

Viewing the evidence in the light most favorable to the verdict, we conclude that the evidence presented at trial would not enable reasonable and fair-minded jurors to find that TxDOT actually knew of the pothole, and the danger it posed, before Reed's crash.

We, therefore, sustain TxDOT's first issue.[2]

III. Conclusion

We reverse the trial court's judgment and render judgment that Reed take nothing from TxDOT.

Scott E. Stevens
Chief Justice

Date Submitted: October 8, 2026
Date Decided: October 29, 2026

[2]Because TxDOT's first issue is dispositive, we need not reach its second and third issues. *See* TEX. R. APP. P. 47.1.